

Wrapped Bitcoin

The wrapped bitcoin (wBTC)³⁵ application takes the *representing off-chain assets on chain* approach to tokenization, specifically for BTC. Abstractly, wBTC allows BTC to be included as collateral or liquidity on all of the Ethereum-native DeFi platforms. Given that BTC has comparatively low volatility³⁶ and is the most well-adopted cryptocurrency by market cap, this characteristic unlocks a large potential capital pool for DeFi dApps.

The wBTC ecosystem contains three key stakeholders: users, merchants, and custodians. Users are simply the traders and DeFi participants who generate demand for the value proposition associated with wBTC, namely, Ethereum-tokenized BTC. Users can purchase wBTC from merchants by transferring BTC and performing the requisite KYC/AML, thus making the entry and exit points of wBTC centralized and reliant on off-chain trust and infrastructure. Merchants are responsible for transferring BTC to the custodians. At the point of transfer, the merchant signals to an on-chain Ethereum smart contract that the custodian has taken custody of the BTC and is approved to mint wBTC. Custodians use industry-standard security mechanisms to custody the BTC until it is withdrawn from the wBTC ecosystem. Once the custodians have confirmed receipt, they can trigger the minting of wBTC that releases wBTC to the merchant. Finally, closing the loop, the merchant transfers the wBTC to the user.